
22.4 LET US SUM UP

The major efforts to collect data on different aspects of the agricultural sector are the quinquennial agricultural census, the quinquennial livestock census, the cost of cultivation studies, annual estimates of crop production and the integrated sample survey to estimate the production of major livestock products. Most of the data flowing from these efforts relate to production, inputs for production, land utilization patterns, intensity of land use, irrigation, costs and pricing of agricultural produce, procurement and distribution, subsidies and credit are found in the two publications “**Agricultural Statistics at a Glance**” (ASG) and “**Basic Animal Husbandry Statistics**” (BAHS). Statistics on the characteristics of land holdings of different size with reference to the parameters referred to above are also available in ASG. More detailed information in this regard, collected in the successive **agricultural census** are available in the **Ministry’s website**. Similarly, detailed information relating to sub-sectors – livestock, poultry and fishery as also agricultural implements, collected in the **livestock censuses**, are available in the **website of the Ministry**, though some information relating to the earlier census are available in ASG and BAHS of relevant years. Data on credit flowing to the agricultural sector are available in the **RBI Handbook of Statistics on the Indian Economy** and **NABARD’s Publications**. Another source containing comprehensive information on agriculture at the global level is the FAO statistical yearbooks published by the UN Food and Agriculture Organisation.

The most detailed data available in the industrial sector relates to the factory sector provided by ASI. The multi-variable data covers about 30 characteristics – investment, inputs, output, gross and net value added, employment, factor shares, net value added at 3 or 4-digit NIC code levels by States and Union territories. Quick estimates of monthly production in selected industries and the Index of Industrial Production are available within six weeks of the reference month from the CSO and revised in the next two months. The State Governments and Union Territory Administrations are also taking steps to prepare and release monthly IIPs that are comparable to the national level IIP. Some have already started releasing such estimates. The **fourth census of micro, small and medium enterprises (MSME) relating to 2006-07** is the most recent and comprehensive source for data on production, employment and exports of the small-scale sector. Reports from the NSSO on surveys of the unorganized sector carried out once in five or six years provide useful data on the characteristics of this sector. Enquiries covering the entire industrial sector or the organized industrial sector such as the **population census**, **NSSO surveys on employment**, the **Economic Census** and the **Employment Market Information Programme** of the Ministry of Labour & Employment provide data only on employment. The **RBI handbook** gives data on industrial credit and financing of industrial capital. The **CMIE (EIS) volumes on industry**, one on **financial aggregates** and the other on **market size and shares** provide a fund of data on finance and market competition aspects of industry. At the global level, the International Labour Organisation (ILO) provides statistics on employment and the UNIDO provides statistics on total factor productivity.

22.5 EXERCISES

- 1) Which major efforts have been made to collect the data on different aspects of agricultural sector?
- 2) Discuss the characteristics of data flowing from the agencies involved in compilation of agriculture data.
- 3) “The detailed data available in the industrial sector relates to the factory sector” explain.
- 4) Do you think that data available on unorganized sector is inadequate? What suggestion would you like to make in this regard?

22.6 SOME USEFUL BOOKS

Amitabh Kundu & Alakh Sharma (Ed.) (2001) : Informal Sector in India – Perspectives & Policies, Institute for Human Development & Institute of Applied Manpower Research, IP Estate, Ring Road, New Delhi.

____National Sample Survey Office (NSSO) (Various issues) : Survey Reports of unorganized sector enterprise surveys NSSO, Ministry of Statistics & Programme Implementation, Govt of India, Sardar Patel Bhavan, New Delhi.

Department of Agriculture & Coop : Agricultural Statistics At a Glance, Directorate of Economics & Statistics (DES), Ministry of Agriculture, Govt. of India, Krishi Bhavan, New Delhi. Cost of Cultivation in India, DES, Ministry of Agriculture & Cooperation, New Delhi.

Reports of the Commission on Agricultural Costs and Prices (CACP), DES, Ministry of Agriculture & Cooperation, New Delhi.

Indian Horticulture Data Base, Ministry of Agriculture & Cooperation, New Delhi

____Ministry of Finance : Economic Survey, Ministry of Finance, North Block, New Delhi.

____Reserve Bank of India (various issues) : RBI Handbook of Statistics on the Indian Economy. The Reserve Bank of India, Mumbai

www.mospi.nic.in : Website of the Ministry of Statistics & Programme Implementation. (even the letters cso in google search will lead you to the (CSO website).

eands.dacnet.nic.in : Directorate of Economics and Statistics, Department of Agriculture and Cooperation, Ministry of Agriculture, Government of India

www.wrmin.nic.in : Website of the Ministry of Water Resources.

www.rbi.org.in : Website of the Reserve Bank of India (RBI).

www.fao.org : UN Food and Agriculture Organisation (FAO) website.

- www.ilo.org** : UN International Labour Organisation (ILO) website.
- www.unido.org** : UN Industrial Development Organisation (UNIDO) website.

22.7 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) The Directorate of Economic and Statistics in the Department of Agriculture and Statistics and Animal Husbandry Statistics Division of the Department of Animal Husbandry.
- 2) See foot note no. 2 and 4.
- 3) See Sub-section 22.2.3 and foot note no. 6.

Check Your Progress 2

- 1) See Sub-section 22.2.4 and 22.2.5
- 2) See foot note no. 8.
- 3) Agricultural Statistics at a glance.
- 4) RBI Handbook of Statistics on Indian Economy 2005.

Check Your Progress 3

- 1) See Sub-section 22.3.1
- 2) See foot note no. 18
- 3) A system that enables the data users to access specific data relating to ASI.
- 4) Derivation of important technical ratios for using the principal characteristics of factory sector.
- 5) Energy Statistics published by CSO.

Check Your Progress 4

- 1) Development commissioner for Small Scale Industries (DCSSI).
- 2) Directorate of Industries of State Government and Union Territory Administrations.
- 3) SIDBI, LIC, Handbook of statistics on the Indian Security Market.

UNIT 23 TRADE AND FINANCE

Structure

23.0 Objectives

23.1 Introduction

23.2 Trade

23.2.1 Merchandise Trade

23.2.2 Services Trade

23.3 Finance

23.3.1 Public Finances

23.3.2 Currency, Coinage, Money and Banking

23.3.3 Financial Markets

23.4 Let Us Sum Up

23.5 Exercises

23.6 Some Useful Books

23.7 Answers or Hints to Check Your Progress Exercises

23.0 OBJECTIVES

After going through this Unit, you will be able to:

- describe the kind of data available in India in the area of trade and finance;
 - state the various sources of data on trade and finance;
 - explain the reasons for divergence between merchandise trade deficit/surplus data provided by DGCI&S and RBI's BOP data; and
 - discuss which agencies are involved in compilation of data on trade and finance.
-

23.1 INTRODUCTION

Trade is the means of building up an enduring relationship between countries and the means available to any country for accessing goods and services not available locally for various reasons like the lack of technical know-how. It is also the means of earning foreign exchange through exports so that such foreign exchange could be utilized to finance essential imports and to seek the much-needed technical know-how from outside the country for the development of industrial and technical infrastructure to strengthen its production capabilities. Trade pacts or agreements between countries or groups of countries constitute one way of developing and expanding trade, as these provide easier and tariff-free access to goods from member countries. While efforts towards such an objective will be of help in expanding our trade, globalization and the emergence of World Trade Organization (WTO) have only sharpened the need to ensure efficiency in the production of goods and services to compete in international markets to improve our share of world merchandise trade and trade in services. Trade is also closely tied up with our development objectives. Trade deficit or surplus, made up of deficit/surplus in merchandise trade and trade in services, contributes to current account deficit

or surplus. Data on trade in merchandise and services would enable us to appreciate the trends and structure of trade and identify areas of strength and those with promise but need sustained attention.

While trade and finance have been closely bound up with each other ever since the time money replaced barter as the means of exchange, finance is the lifeline of all activities – economic, social and administrative activities. It flows from the public as taxes to Government, as savings to banking and financial institutions and as share capital or bonds or debentures to the entrepreneur. It then gets used for a variety of developmental and non-developmental activities through Government and other agencies and flows back to members of the public as incomes in various ways, as factor incomes. It would therefore, be of interest to know how funds get mobilized for various purposes and get used. This Unit looks at the kind of data available that could enable us to analyse this mobilization process and the flows of funds to different areas of activity. Let us begin to discuss the data on trade.

23.2 TRADE

23.2.1 Merchandise Trade

The Directorate General of Commercial Intelligence and Statistics (DGCI&S) collects and compiles statistics on imports and exports. It releases these data at regular intervals through their **publications** and through **CDs**. It prepares “**Quick Estimates**” on aggregate data of exports and imports and principal commodities within two weeks of the reference month and releases these in the monthly press release. It publishes

- 1) A monthly brochure “**Foreign Trade Statistics of India (Principal Commodities and Countries)**” containing provisional data issued to meet the urgent needs of the Ministry of Commerce, other government organizations, Commodity Boards (CBs), Export Promotion Councils (EPCs) and research organizations. It contains commodity-wise, country-wise and port-wise foreign trade information;
- 2) “**Monthly Statistics of Foreign Trade of India, Volume I (Exports including re-exports) & Volume II (Imports)**” containing detailed data on foreign trade at the 8-digit level codes of the ITS (HTS) (see below);
- 3) **Quarterly publications :**
 - a) **Statistics of the Foreign Trade of India by Countries – Vol I (Exports including re-exports) and**
 - b) **Statistics of the Foreign Trade of India by Countries – Vol II (Imports)**
- 4) **Annual publications:**
 - a) **Statistics of the Customs and Excise Revenue Collections of the Indian Union,**
 - b) **Statistics of the Inland Coasting Trade Consignment of India,**
 - c) **Inter-State Movements/ Flows of Goods by Rail, River and Air,**
 - d) **Statistics of Foreign and coastal Cargo Movements of India,**
 - e) **Selected Statistics of the Foreign Trade of India;**

- 5) The **DGCI&S website (www.dgciskol.nic.in)** has two parts, one consists of static pages and the dynamic pages. The first contains the history and the activities of DGCI&S and summary data on principal commodities, and countries and is updated regularly. The dynamic pages are mainly for on-line data dissemination and provide access on free and payment basis. This contains at least 24 months final foreign trade data at 8-digit commodity and principal commodity level and updated regularly; and
- 6) **The Priced Information Service System (PISS)** provides information to private parties, EPCs, CBs, Foreign Embassies etc., on payment basis @ Re. 1 /- per unit record of information. It does not give the whole basket of 8-digit commodity-country data for any particular period for reasons of 'copyright' provision of the DGCI&S. It however, provides aggregate and detailed data to **Centre for Monitoring Indian Economy (CMIE), Mumbai** for an efficient trade intelligence service.
- 7) It also has a web-based data dissemination system for online data transaction through advance payment. The export and import trade data are available countrywise and economic regionwise. The detailed data on India's foreign trade in merchandise are made available after completion of the third month from a particular month. Here the commodities referred to in these data stand for the ones specified in the ITC(HS) against 8-digit codes which have been developed by the DGCI&S by sub-dividing the 6-digit codes of Harmonised System as internationally standardised. If you want to get data online, you can visit http://www.dgciskol.nic.in/new_registration.asp and see the terms, conditions and procedures.

The DGCI&S data are also presented as time series data in the **Reserve Bank of India Handbook of Statistics on the Indian Economy**. As mentioned above the **CMIE** is another source – **their volume on Foreign Trade and BoP**. The **EPWRF** (see its website – google search with **EPWRF** will enable you to access it) also publishes time series data on foreign trade – it is one of the 35 sets of special statistics on which it publishes long time series data along with information on conceptual and methodological issues.

Foreign trade data published by DGCI&S relates to merchandise trade through all recognized seaports, airports, land customs stations and inland container depots located all over India. Data on exports include re-exports and relate to the free on board (f.o.b.) values and imports relate to cost, insurance and freight (C.I.F.) values. Exports and imports are based on a general system of recording. According to this, exports relate to Indian merchandise and re-export relates to foreign merchandise previously imported into India. Imports relate to foreign merchandise, whether these are intended for consumption in India, bonding or re-exportation.

The commodities comprising merchandise imports and exports are classified according to a standard classification. The trade classification in vogue in India between April, 1977 and March, 1987 was the Indian Trade Classification, Revision 2 (ITC – Rev. 2) – one that was based on the Standard International Trade Classification Revision 2 (SITC – Rev.2). A new system of commodity classification, known as Indian Trade Classification (based on the Harmonized Commodity Description and Coding System), or ITC(HS), has been adopted since April, 1987. ITC (HS) is an extended version of the International Classification System called "Harmonized Commodity Description and Coding

System” evolved by the World Customs Organization, Brussels¹. These changes in the trade classification of commodities mean that time series data on export and import relating to some commodities may not be strictly comparable. Another element of non-comparability of time series data arises from changes in the definition of countries and/or groups. For example, data for Russia prior to 1993-94 relate to erstwhile USSR, with the exception of 1992-93, the data for which relate to the Commonwealth of Independent States (CIS) representing a group of 15 countries². Similarly, Indian trade with Germany relates to Federal Republic of Germany (FRG) till 1989-90 and to the unified Germany thereafter. There are also changes in the membership of groups like the European Union, and Oil and Petroleum Exporting Countries (OPEC) from time to time.

What would we like to know about foreign trade? The volume of trade, that is, the volume of exports and imports, the size of export earnings, the expenditure on imports, the size of exports relative to imports, earning from exports compared to expenses incurred on imports since exports earn foreign exchange while imports imply outflow of foreign exchange. We should like to know about the trends in these variables. Besides looking at the trends in the quantum and value of imports and exports, it is important to analyse the growth in foreign trade both in terms of value and volume, since both are subject to changes over time. Exports and imports are made up of a large number of commodities and fluctuations in the export and imports of individual commodities contribute to overall fluctuations in the volume and value of exports and imports. We, therefore, need a **composite indicator of the trends in trade**. The index number of foreign trade of a country is a useful indicator of the temporal fluctuations in exports and imports of the country in the term of **value, quantum and unit price and** so on. Similarly, measures of the terms of trade could be derived from such indices relating to imports and exports.

The index number of foreign trade is computed and presented as Unit Value Index (UVI) and Quantum Index (QI). These are defined as follows:

$$UVI = [\sum P_1 Q_t] / [\sum P_0 Q_t] \dots\dots\dots (1)$$

$$QI = [\sum P_0 Q_t] / [\sum P_0 Q_0] \dots\dots\dots (2)$$

where P_1 Is the unit value of an item in the current period and Q_t is the quantity of the same item in the current period, P_0 and Q_0 are the unit value and the quantity respectively of the same item during the base period and Σ is the summation over all commodities. These indices have been computed with 1979-80 as the base year.

Three types of Terms of Trade are computed from these indices:

- 1) Gross Terms of Trade (GTT) = $100 \times [(QI \text{ of imports}) / (QI \text{ of exports})]$
- 2) Net Terms of Trade (NTT) = $100 \times [(UVI \text{ of exports}) / (UVI \text{ of imports})]$
- 3) Income Terms of Trade (ITT) = $[NTT \times QI \text{ of exports}] / 100$
 $= [UVI(\text{exports}) \times QI(\text{exports})] / [UVI(\text{imports})]$.

The existing index numbers have the base year 1979-80. Changes in the ITC since April, 1987 and the recasting of the basket of commodities to suit the new

¹ This organization was previously known as Customs Cooperation Council.

² These were Armenia, Azerbaijan, Belarus, Estonia, Georgia, Kazakhstan, Kyrgyz republic, Latvia, Lithuania, Moldova, Russia, Tajikistan, Turkmenistan, Ukraine and Uzbekistan.

classification system, the base year 1979-80 has become too old to serve the purpose of temporal comparability and the new ITC adopted in April, 1987. The DGCI&S, therefore, decided to construct new index numbers with the **base year 1998-99**. It also decided to bring out global monthly indices and for selected countries. The preparation of these index numbers is in progress.

What kinds of data are available on foreign trade? Time series on the following data are published in the **RBI Handbook of Statistics of the Indian Economy 2013-14**, under the sub-heading “Trade and Balance of Payments”:

- a) India’s foreign trade (in US \$ and Indian Rupees) from 1975-76 to 2013-14, The exports and imports have been shown as total and in two groups, namely, oil and non-oil. The “Trade Balance”, i.e., exports – imports is also given for each of these three groups. A negative figure meaning exports are less than imports. You can observe from this Table that India had a positive non-oil trade balance, albeit sporadically, till 2003-04. However, after that, trade balance for both oil and non-oil has become negative.
- b) Exports (in US\$ and Indian Rupees) of principal commodities, from 1998-99 to 2013-14³;
- c) Imports (in US\$ and Indian Rupees) of Principal Commodities⁴, from 1998-99 to 2013-14;
- d) Exports (in US\$ and Indian Rupees) of selected commodities to principal countries;
- e) Direction of Foreign Trade (in US\$ and Indian Rupees) showing exports and imports for each year by trade areas, groups of countries and countries; and within each group of countries or trade area, data are presented only for selected countries⁵;
- f) Year-wise indices, both UVI and QI, for imports and exports from 1976-77 to 2007-08 (base 1978-79 = 100) and 1999-2000 to 2013-14 (base 1999-2000 = 100) the three terms of trade measures; GTT, NTT and ITT;

³ Commodities were classified into 4 groups (including total), namely, primary products, manufactured goods, petroleum products and others; sub-divided further in into 11 sub-groups and 44 items: A. Agriculture and allied Products (15 items), 2. Ores and Minerals (3 items), 3. Leather and manufactures, 4. Chemicals and related products (4 items), 5. Engineering goods (6 items), 6. Textile and textile products (11 items), 7. Gems and jewelry, 8. Handicrafts, excluding handmade carpet; 9. Other Manufactured Goods; 10. Petroleum products; and 11. Others.

⁴ The classification of imports consisted of three broad groups, I Bulk Imports, II Non-bulk Imports and III Total Imports; Bulk Imports were further divided into three groups, namely, A. Petroleum, Crude and Products; B. Bulk Bulk Consumption Goods (consisting of 4 sub-items); C. Other Bulk Items (9 sub-items); Non-bulk Import were A. Capital Goods (8 sub-items), mainly export related items (4 sub-items) and Others (9 sub-items).

⁵ The trade areas for which data are presented are: I OECD countries, II OPEC, III Eastern Europe, IV Developing Countries, V Others (Unspecified). Each of these trade areas is further divided into country-group and within each group figures are given only for some selected countries. Trade area I is divided into A. European Union (within which data for 6 selected countries are given). B. North America (2 selected countries). C. Asia & Oceania (2 selected countries) and D. Other OECD Countries (1 selected country). II and III have no further grouping of countries within them but figures for 6 selected countries under II and for 2 selected countries under III are presented. Trade area IV is divided into A. Asia, B. Africa and C. Latin America Countries. A gets further grouped into (a) SAARC (figures for all countries are given under this), (b) Other Asian Developing Countries (figures for 6 selected countries are given). Figures for 7 selected countries under Africa are given and for Latin America no further break up by countries are given.

- g) Index numbers of Exports – QI and UVI for 9 commodity groups⁶ from 2005-06 onwards (base 1999-2000 = 100).
- h) Index numbers of Imports - QI and UVI for 9 commodity groups⁷ from 2005-06 onwards (base 1999-2000 = 100) Similar type of data on imports.
- i) India's overall Balance of Payment (in US \$ and Indian Rupees) under: A current account, B capital account, C. errors and omissions, D. overall balance and E. Monetary movements from 2008-09 onwards.
- j) Invisibles by category of transactions (in US \$ and Indian Rupees) from 1994-95 onwards.
- k) Exchange rate of Indian Rupee vis-à-vis US \$, UK £, DM/€ and Japanese ¥ from 1975 onwards (calendar year – annual average, financial year – annual average and end year rates).
- l) Real Effective Exchange Rate (REER) and Net Effective Exchange Rate (NEER) of Indian Rupee 36-country bilateral weights) with base 2004-05 from calendar year 2005 onwards.
- m) Indices of REER and NEER.
- n) External assistance in the form of loans and grants from 1985-86 onwards (in US \$ and Indian Rupees), authorization, utilization and debt service payments.
- o) NRI deposits outstanding (in US \$ and Indian Rupees) from 1996 onwards in different types of accounts like NR (E)RA, FCNR(A), FCNR(B), NR(NR)RD, NRO, FC (B&O)D, FC(O)N and total. It has increased from US \$17.446 billion in 1996 to US \$103.844 in 2014.
- p) Foreign investment inflows (in US \$ and Indian Rupees) namely, gross investments, repatriation/ disinvestment, FDI by India, net foreign direct investment, net portfolio investment from 2000-01 onwards.
- q) Foreign exchange reserves (in US\$ and Indian Rupees) from 1956-57 onwards.
- r) India's external debt (in US \$ and Indian Rupees) from 1996 onwards⁸, which, inter alia, provides concessional debt as percentage of total debt, short term debt as % to total debt, debt stock-GDP ratio (%) and debt service ratio (%).

⁶ The commodity groups are: I Food and live animals (6 sub-groups), II. Beverages and Tobacco, III. Crude materials, inedible, except fuel (4 sub-groups), IV. Mineral fuels, lubricants and related materials (3 sub-groups), V. Animal and vegetable oil, fats and waxes, VI. Chemicals and related products (6 sub-groups), VII. Manufactured goods classified chiefly by material (5 sub-groups), VIII. Machinery and transport equipment (9 sub-groups) and IX. Misc. manufactured articles (4 sub-groups). In a few cases, indices for specific commodities under a sub-group are also given.

⁷ The commodity groups are: I Food and live animals (5 sub-groups), II. Beverages and Tobacco (2 sub-groups), III. Crude materials, inedible, except fuel (7 sub-groups), IV. Mineral fuels, lubricants and related materials (3 sub-groups), V. Animal and vegetable oil, fats and waxes, VI. Chemicals and related products (8 sub-groups), VII. Manufactured goods classified chiefly by material (7 sub-groups), VIII. Machinery and transport equipment (9 sub-groups) and IX. Misc. manufactured articles (3 sub-groups). In a few cases, indices for specific commodities under a sub-group are also given.

⁸ The debts are classified into I. Multilateral, II. Bilateral, III. International Monetary Fund, IV. Trade credit, V. Commercial borrowing, VI. NRI & FC (B&O) deposits, VII. Rupee debt, VIII. Total long-term debt, IX. Short-term debt and X. Gross total debt. Most of the groups have sub-groups A. Government borrowing, and B. Non-Government borrowing, further disaggregated into concessional and non-concessional borrowing.

Some of these data are from the DGCI&S and the rest are from the **Balance of Payments (BoP)** data of the RBI. The **BoP** data reported by RBI show the value of merchandise imports on the debit side and that of exports on the credit side. It also shows trade balance – a trade deficit or a trade surplus – depending upon whether the difference ‘export - imports’ is negative or positive. These are all shown in the balance payment format as part of current account, which also shows another entity ‘invisibles’. However, there is a divergence in trade deficit/surplus in merchandise trade shown by **DGCI&S data** and that shown by **RBI’s BoP data**. This discrepancy between the two sources also affects data on current account deficit (CAD) or surplus (CDS), since current account deficit/surplus is the total of trade deficit/surplus and net invisibles (inflow of invisibles net of outflow in the category ‘invisibles’⁹) For example, the **Economic Advisory Council to the Prime Minister noted, in its Report on Balance of Payments (BoP)** submitted to the Prime Minister recently, that the divergence between the two sources of data on trade was growing¹⁰. It noted that trade deficit is projected for the year 2005-06 at 5.2 per cent of GDP on the basis of trade data from DGCI&S, while it is 7.7 per cent according to RBI’s BoP data – a difference of the size of 2.5 per cent of GDP. CAD based on trade data of DGCI&S is only 0.3 per cent of GDP while it is 2.9 per cent of GDP if the estimate of CAD is based on trade data from BoP. The reasons for the divergence in the data between the two sources are, as noted by the Council:

- DGCI&S tracks physical imports and exports while BoP data tracks payment transactions relating to merchandise trade;
- DGCI&S data do not capture Government imports, which are exempted from customs duty. Defence imports fall into this category; and
- DGCI&S data do not capture imports that do not cross customs boundary (for example, oil rigs and some aircrafts) while they are still paid for and get captured in BoP data.

23.2.2 Services Trade

Besides export and import of merchandise, a number of services, like transportation services, travel services, software, Information technology-Enabled Services (ITES), business services and professional services are exported and imported. These are captured by “non-factor services” included in the entry “Invisibles” in the **Tables on India’s Overall BoP and on Key Components of India’s BoP in the RBI Handbook**. The handbook has also a table (Table 140 in RBI’s Handbook of 2013-14) that gives the distribution of ‘invisibles’ by transactions – credit, debit and net, under the Current Account, giving separately for a) Services: Travel, Transportation, Insurance, G.n.i.e, Miscellaneous (software services, business services, financial services and communication services); b) Transfers: Official, Private; c) Income: investment income, compensation of employees.

Check Your Progress 1

- 1) What kind of Trade Data is compiled by DGCI&S?

.....

.....

⁹ See under the section on Finance later in this Unit.

¹⁰ News report in the Hindu dated February, 23, 2006 Chennai edition – Business page.